

Hypothetical acquisition using public financials with assumed deal terms for modeling purposes

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1 Acquirer & Target (Identifiers)

Acquirer: Nike
 Target: Lululemon
 Deal Type: Friendly, 100% acquisition
 Close Timing: End of FY2026, (Year 0)

2 Purchase Price Assumptions

Item	Assumption	Rational
Lululemon EBITDA	Pulled from latest filings	Real anchor
Purchase Multiple	14.0x EBITDA	Premium brand, but conservative vs peak
Equity Purchase Price	EBITDA x Multiple	Standard
Control Premium	Included in multiple	Cleaner

3 Financing Mix

Source	%	Notes
Cash	30.0%	Nike balance sheet strength
New Debt	50.0%	Moderate leverage
Equity	20.0%	Token issuance only
Total	100.0%	
Minimum Cash Balance	\$1,500.0	

Additional financing assumptions:

Cost of New Debt: 5.8%
 Debt Term: 10 years (interest-only modeled)
 Nike Share Price (assumed): Use current market level (rounded)

4 Tax & Accounting Assumptions

Item	Assumption	Rational
Statutory Tax Rate - Nike	25.0%	Normalized forward-looking tax rate reflecting expiration of historical tax optimization benefits, inclusion of state taxes, and the impact of OECD Pillar Two global minimum tax provisions. Exceeds the historical average of ~16.8% for conservatism.
Statutory Tax Rate - Lululemon	30.0%	Aligned with management guidance for FY2025–FY2026 and reflects Lululemon's current earnings concentration in higher-tax jurisdictions.
Depreciation on Write-ups	Straight-line	
Amortization Period	10 years	
Goodwill	Not amortized	

5 Purchase Accounting Assumptions

Component	% of Purchase Price	Rationale
Net Identifiable Tangible Assets	20.0%	Retail tangible base (inventory, stores, equipment) is meaningful but not value-driving
Identifiable Intangibles (Brand / Tradename)	45.0%	Lululemon's brand equity is the core economic asset
Goodwill (plug)	35.0%	Reflects control premium, synergies, and future growth
Total	100.0%	—

Goodwill = Purchase Price – Net Identifiable Assets

6 Integration Cost Assumptions (Pre-Tax)

Year	Integration Costs (\$mm)
Y1	\$150.0
One-time integration costs of \$150 million are assumed to reflect system integration, professional fees, employee retention programs, and organizational alignment costs. Integration costs are modeled at 50% of annual cost synergies, consistent with observed transaction benchmarks for large strategic acquisitions.	

7 Synergy Assumptions

Cost Synergies (Pre-Tax)

Year	Cost Savings (\$mm)
Y1	\$300.0
Cost synergies of \$300 million are assumed, representing approximately 0.5% of combined revenue, derived solely from operational efficiencies rather than revenue expansion. These savings are expected to come from procurement scale, supply-chain optimization, shared corporate functions (IT, finance, HR), and vendor consolidation. No store closures or aggressive headcount reductions are assumed, keeping the estimate conservative.	

Revenue Synergies (Base case)	\$0.0
No revenue synergies are assumed in the base case. While strategic cross-selling and international expansion opportunities may exist, revenue synergies are inherently uncertain and execution-dependent. Excluding them ensures that accretion is driven by tangible cost efficiencies and financing discipline rather than speculative upside.	
Net Synergy	\$150.0

Tax Treatment

All synergies and integration costs are converted to an after-tax basis using a 25% pro forma tax rate, consistent with the combined entity's normalized tax assumption.

Lost-Interest Income	1.0%
Cash is assumed to earn a 1% annual yield, reflecting a conservative return on short-term, highly liquid investments; interest income foregone on cash used is treated as a financing effect	

8 Margin & Growth Assumptions (Standalone)

Nike

	Assumption	Rationale
Revenue Growth:	4.5%	It reflects a normalized mid-single-digit growth rate for a mature global brand. This smooths near-term volatility from promotional activity and excludes any acquisition-related synergies, which are modeled separately.
COGS (% of revenue)		FY2026E COGS is set at 58.0%, reflecting continued promotional intensity and inventory normalization following recent margin pressure. COGS is then gradually reduced to 56.0% by FY2030E using straight-line interpolation, capturing operational normalization while recognizing persistent structural costs such as tariffs, supply-chain frictions, and elevated logistics expenses. This approach avoids assuming a return to peak historical margins and reflects a conservative, post-reset steady state.
Start COGS (FY 2026E)	58.0%	
End COGS (FY 2030E)	56.0%	
Horizon in years	5	
Method:	Straight-line interpolation	
Improvement needed	2.0%	
No. of steps	4	
Annual change:	0.5%	
Fiscal Year	COGS % of Revenue	
FY2025E	58.0%	
FY2026E	57.5%	
FY2027E	57.0%	
FY2028E	56.5%	
FY2029E	56.0%	
Depreciation & Amortization (% of revenue)	1.7%	Depreciation & amortization is projected at 1.7% of revenue, consistent with Nike's historical range. This assumes a stable asset base where maintenance investment scales proportionally with revenue and excludes any acquisition-related depreciation, which is modeled separately.
Other Expenses (% of revenue)	33.0%	Operating overhead (SG&A) is modeled at 33.0% of revenue, consistent with FY2025 actuals and recent quarters. No operating leverage or efficiency gains are assumed in the base case to avoid embedding implicit synergies in standalone projections.
Interest expense (income), net (in million)	\$100.0	Net interest income is modeled as a fixed -\$100M per year, consistent with FY2025 actuals and Nike's net cash position. This isolates acquisition-related financing effects, which are modeled separately in the pro forma.
Other (income) expense, net	\$0.0	Other (income) expense, net is assumed to be \$0 in projected periods, as it primarily reflects volatile foreign exchange and non-recurring items that are not indicative of ongoing operating performance.
Diluted Shares Outstanding	Flat	Diluted shares outstanding are held constant in the standalone case to isolate core operating performance and acquisition-driven EPS impact. Although Nike has historically repurchased shares, no buybacks are assumed in the base case to avoid embedding capital allocation effects unrelated to the transaction.

FY2026E reflects peak promotional pressure and inventory normalization, resulting in temporarily depressed margins prior to gradual recovery.

Lululemon

	Assumption	Rationale
Revenue Growth:	6.5%	Revenue growth is assumed in the 5.5%–6.5% range, reflecting Lululemon’s transition from hyper-growth to a more normalized expansion phase. Management’s revised FY2025 outlook of approximately \$11.0 billion supports continued momentum, while longer-term growth moderates as U.S. demand matures and international markets—particularly China—become the primary growth drivers. FY2026E is modeled at 6.5% to capture stronger-than-expected holiday performance before settling toward a sustainable mid-single-digit trajectory.
COGS (% of revenue)		Lululemon COGS is modeled using the same linear interpolation methodology as Nike, declining from 44.0% in FY2026E to 42.0% by FY2030E to reflect gradual normalization following inventory clearance and tariff-related pressure.
Start COGS (FY 2026E)	44.0%	
End COGS (FY 2030E)	42.0%	
Horizon in years	5	
Method:	Straight-line interpolation	
Improvement needed	2.0%	
No. of steps	4	
Annual change:	0.5%	
Fiscal Year	COGS % of Revenue	
FY2025E	44.0%	
FY2026E	43.5%	
FY2027E	43.0%	
FY2028E	42.5%	
FY2029E	42.0%	
Depreciation & Amortization (% of revenue)	3.9%	Depreciation & amortization is modeled at 3.9% of revenue, reflecting a normalized level of lease-related and fixed-asset depreciation under Lululemon’s store-based operating model. This assumption moderates recent elevated depreciation while remaining conservative relative to reported levels, and avoids the need for detailed lease or capital-expenditure modeling in the standalone case.
Other Expenses (% of revenue)	32.5%	SG&A is modeled in the 30.0%–35.0% range, reflecting Lululemon’s elevated investment in brand, marketing, and demand creation, particularly to re-accelerate its U.S. business. Recent results show SG&A at approximately 32.5% of revenue, and the model assumes this higher cost structure persists as the company prioritizes growth and brand engagement over near-term margin expansion.
Other (income) expense, net (in million)	\$70.0	Other (income) expense, net is modeled as a fixed –\$70M per year, reflecting recurring interest income earned on Lululemon’s net cash and short-term investment balances. This amount is held constant and treated as non-operating, isolating acquisition-related financing effects, which are modeled separately in the pro forma
Diluted Shares Outstanding	Flat	Diluted shares outstanding are held constant in the standalone case to isolate core operating performance and acquisition-driven EPS impact. Although Nike has historically repurchased shares, no buybacks are assumed in the base case to avoid embedding capital allocation effects unrelated to the transaction.

FY2025E reflects elevated brand investment and depreciation normalization, temporarily compressing EBITDA margin before gradual recovery.

9 Intangible Amortization

Item	Assumption
Intangible Asset Type	Brand / Tradename
Useful Life	10 Years
Amortization Method	Straight-line
Tax Deductibility	Yes

Accretion/ Dilution

All figures in millions unless otherwise stated

Nike Standalone EPS (Baseline)

Items	Amount
Nike Standalone Net Income (FY2026E)	\$3,033.4
Nike Standalone Shares Outstanding	1,487.6
Nike Standalone EPS (\$)	\$2.0

New Shares Issued

Items	Calculation
Equity Issuance	7,869.4
30-day VWAP (\$)	64.1
New Shares Issued	122.7

Pro-Forma EPS Calculation

Items	Amount
Pro-Forma Net Income	\$3,533.9
Pro-Forma Shares Outstanding	\$1,610.3
Pro-Forma EPS	\$2.2

Accretion / (Dilution) **7.6%**

The deal is accretive by ~7.6% in Year 1.

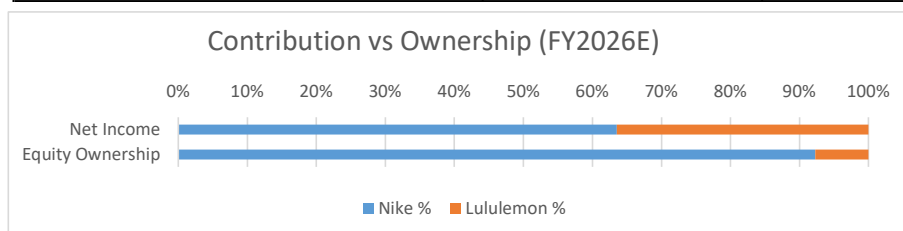
The transaction is accretive because Lululemon's earnings and operating synergies more than offset incremental amortization, interest expense, cash drag, and equity dilution, resulting in higher pro-forma EPS despite an increased share count.

Contribution Analysis FY2026E

Metric	Nike (Standalone)	Lululemon (Standalone)	Combined	Nike %	LULU %
Revenue	\$50,570.6	\$12,009.3	\$62,579.9	80.8%	19.2%
EBITDA	\$4,804.2	\$2,952.2	\$7,756.4	61.9%	38.1%
Net Income	\$3,033.4	\$1,738.7	\$4,772.1	63.6%	36.4%
Equity Ownership	1,487.6	123.9	1,611.5	92.3%	7.7%

Lululemon contributes approximately 36% of combined standalone net income, yet its shareholders receive only 7.6% of pro-forma equity ownership. This contribution-to-ownership gap explains the transaction's ~7.6% EPS accretion for Nike.

Category	Nike %	Lululemon %
Net Income	63.6%	36.4%
Equity Ownership	92.3%	7.7%



Leverage Impact (Credit Profile)

Metric	Nike (Pre-Deal)	Pro-Forma (Post-Deal)	Change
Total Debt	\$7,961.0	\$31,787.6	\$23,826.6
Cash & Equivalents	\$9,151.0	\$1,500.0	(\$7,651.0)
Net Debt	(\$1,190.0)	\$30,287.6	\$31,477.6
EBITDA (FY2026E)	\$4,804.2	\$7,906.4	\$3,102.2
Net Debt / EBITDA	Net Cash	3.8x	

Although the transaction is ~7.6% EPS accretive, it shifts Nike from a net cash position to ~3.8x Net Debt/EBITDA, materially increasing financial risk and implying a multi-year deleveraging period.

Standalone Combination

FY2026E

All figures in millions unless otherwise stated

Income Statement

Revenue	\$62,579.9
Cost of Sales	\$34,302.1
Gross Profit	\$28,277.8

Depreciation & Amortization	\$1,328.1
Other Expenses	\$20,591.3
Interest expense (income), net	(\$100.0)
Other (income) expense, net	(\$70.0)
EBT	\$6,528.4

EBITDA	\$7,756.4
<i>EBITDA Margin</i>	<i>12.4%</i>

Operating Synergies

Net Synergy	\$150.0
Pro-Forma EBITDA¹	\$7,906.4

1. Pro-Forma EBITDA = Cost Synergies+ Revenue Synergies - Integration Costs

Purchase Accounting

Incremental D&A (Goodwill)	\$1,770.6
Pro-Forma EBIT	\$6,135.83

Financing Effects

Interest Expense (New Debt)	\$1,347.39
Lost Interest Income (Cash Used)	\$76.51
Pro-Forma EBT	\$4,711.93

Taxes	\$1,177.98
Pro-Forma Net Income	\$3,533.94

1. Transaction Overview

All figures in millions unless otherwise stated

Item	Description
Acquirer	Nike
Target	Lululemon
Deal Type	Friendly, 100% acquisition
Close Date	End of FY2026, (Year 0)
Valuation Method	EV / EBITDA
EBITDA Year Used	FY2026E
Purchase Multiple	14.0x

2. Purchase Price Calculation

2A. Enterprise Value

Item	EV calculation
FY2026E EBITDA (Target)	\$2,952.2
Purchase Multiple	14.0x
Enterprise Value	\$41,331.3

Enterprise value is derived using a 14.0x EV/EBITDA multiple, reflecting a ~20–25% control premium to Lululemon's forward trading range (~11–12x) for a high-quality brand acquisition.

2B. Equity Value Bridge

Item	Amount
Enterprise Value	\$41,331.3
Plus: Cash & Short-Term Investments	\$1,984.3
Less: Debt	0
Net Cash	\$1,984.3
Implied Equity Value	\$39,347.0

Equity value reflects the acquisition of a net-cash target; therefore equity value exceeds enterprise value.

3. Sources & Uses

3A. Uses of Funds

Uses of Funds	Amount
Equity Purchase Price	\$39,347.0
Transaction Fees ¹	0
Total Uses	\$39,347.0

1. They're immaterial to deal economics and excluded for simplicity

3B. Sources of Funds

Liquidity Assumptions

Item	Amount
Nike Cash & Short-Term Investments	\$9,151.0
Minimum Cash Balance	(\$1,500.0)
Available Cash	\$7,651.0

Target Financing Mix

Source	Target %
Cash	30.0%
Debt	50.0%
Equity	20.0%
Total	100.0%

Sources of Funds

Sources	Formula / Logic
Cash ¹	\$7,651.0
New Debt ²	\$23,826.6
Equity Issuance	\$7,869.4
Total Sources	\$39,347.0

1. $Cash_Used = MIN(Target\ Cash, Available\ Cash)$

2. $New\ Debt = Total\ sources - Cash - Equity$

*Cash funding is capped to preserve minimum on-balance-sheet liquidity;
incremental funding requirements are met through debt issuance*

4. Purchase Price Allocation (PPA)

Component	Allocation %
Net Identifiable Tangible Assets	20.0%
Identifiable Intangibles	45.0%
Goodwill (plug)	35.0%
Total	100.0%

Allocation Calculation

Component	Amount
Net Identifiable Tangible Assets	\$7,869.4
Identifiable Intangibles (Brand / IP)	\$17,706.1
Goodwill (Plug)	\$13,771.4
Total Allocated	\$39,347.0

5. Intangible Amortization

Item	Assumption
Intangible Asset Type	Brand / Tradename
Useful Life	10 Years
Amortization Method	Straight-line
Tax Deductibility	Yes

Annual Amortization Calculation

Item	Amount
Identifiable Intangibles (from 4B)	\$17,706.1
Useful Life (years)	10 Years
Annual Amortization Expense	\$1,770.6

6. Incremental Financing Impact

Item	Assumption
New Debt Issued	\$23,826.6
Interest Rate	5.8%
Debt Type	Term Debt
Mandatory Amortization (<i>annually</i>)	5.0%
Debt Tenor	10 years

6B — Debt Schedule

Debt Roll-Forward

Item	Amount
Opening Debt Balance	\$23,826.6
Mandatory Principal Repayment	\$1,191.3
Ending Debt Balance	\$22,635.2

6C — Interest Expense Calculation

Annual Interest Expense

Item	Amount
Average Debt Balance	\$23,230.9
Interest Rate	5.8%
Interest Expense	\$1,347.4

7. Pro Forma Adjustments Summary

7A. Standalone Combination

Item	Amount
Nike Standalone Net Income (FY2026E)	\$3,033.4
Lululemon Standalone Net Income (FY2026E)	\$1,738.7
Combined Standalone Net Income	\$4,772.1

7B. Transaction Accounting Adjustments

Adjustment	Amount
Intangible Amortization	\$1,770.6
Incremental Interest Expense	\$1,347.39
Lost Interest Income (Cash used)	\$76.51
Combine Pre-Tax Adjustment	\$3,194.52
After Tax Adjustment	\$2,395.89

Nike

	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
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All figures in millions unless otherwise stated

Income Statement

Revenue	\$46,309.0	\$48,392.9	\$50,570.6	\$52,846.3	\$55,224.3	\$57,709.4
Revenue Growth		4.5%	4.5%	4.5%	4.5%	4.5%
Cost of Sales	\$26,519.0	\$28,067.9	\$29,078.1	\$30,122.4	\$31,201.8	\$32,317.3
Gross Profit	\$19,790.0	\$20,325.0	\$21,492.5	\$22,723.9	\$24,022.6	\$25,392.2
Depreciation & Amortization	\$775.0	\$822.7	\$859.7	\$898.4	\$938.8	\$981.1
Other Expenses	\$15,313.0	\$15,969.7	\$16,688.3	\$17,439.3	\$18,224.0	\$19,044.1
Interest expense (income), net	(\$107.0)	(\$100.0)	(\$100.0)	(\$100.0)	(\$100.0)	(\$100.0)
Other (income) expense, net	(\$76.0)	-	-	-	-	-
EBT	\$3,885.0	\$3,632.7	\$4,044.5	\$4,486.2	\$4,959.7	\$5,467.0
EBITDA	\$4,553.0	\$4,355.4	\$4,804.2	\$5,284.6	\$5,798.6	\$6,348.0
EBITDA Margin	9.8%	9.0%	9.5%	10.0%	10.5%	11.0%
Taxes	\$666.0	\$908.2	\$1,011.1	\$1,121.6	\$1,239.9	\$1,366.7
Net Income	\$3,219.0	\$2,724.5	\$3,033.4	\$3,364.7	\$3,719.8	\$4,100.2
Diluted Shares Outstanding	1,487.60	1,487.6	1,487.6	1,487.6	1,487.6	1,487.6
EPS (\$)	\$2.2	\$1.8	\$2.0	\$2.3	\$2.5	\$2.8

Lululemon

	FY2024A	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
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All figures in millions unless otherwise stated

Income Statement

Revenue	\$10,588.1	\$11,276.4	\$12,009.3	\$12,789.9	\$13,621.3	\$14,506.7
Revenue Growth		6.5%	6.5%	6.5%	6.5%	6.5%
Cost of Sales	\$4,317.3	\$4,961.6	\$5,224.1	\$5,499.7	\$5,789.0	\$6,092.8
Gross Profit	\$6,270.8	\$6,314.8	\$6,785.3	\$7,290.3	\$7,832.2	\$8,413.9
Depreciation & Amortization	\$446.5	\$439.8	\$468.4	\$498.8	\$531.2	\$565.8
Other Expenses	\$3,318.6	\$3,664.8	\$3,903.0	\$4,156.7	\$4,426.9	\$4,714.7
Interest expense (income), net	-	-	-	-	-	-
Other (income) expense, net	(\$70.4)	(\$70.0)	(\$70.0)	(\$70.0)	(\$70.0)	(\$70.0)
EBT	\$2,576.1	\$2,280.2	\$2,483.9	\$2,704.7	\$2,944.1	\$3,203.4
EBITDA	\$3,022.6	\$2,719.9	\$2,952.2	\$3,203.5	\$3,475.3	\$3,769.2
EBITDA Margin	28.5%	24.1%	24.6%	25.0%	25.5%	26.0%
Taxes	\$761.5	\$684.0	\$745.2	\$811.4	\$883.2	\$961.0
Net Income	\$1,814.6	\$1,596.1	\$1,738.7	\$1,893.3	\$2,060.9	\$2,242.4
Diluted Shares Outstanding	123.94	123.94	123.94	123.94	123.94	123.94
EPS (\$)	\$14.6	\$12.9	\$14.0	\$15.3	\$16.6	\$18.1